That may sound counterintuitive when the headlines are dominated by a falling market, an expanding conflict in the Middle East, and a currency that has been hit hard —the rupee is down 6.6% this year and is the second-worst performing Asian unit so far in 2026 (*see charts*).

But for long-term investors, the sell-off has done something that the relentless rally of the past few years did not: it has brought valuations back towards more reasonable levels.

The Nifty is now trading at around 17-18 times one-year forward earnings, compared with 23-24 times in 2024. Consequently, several blue-chip stocks, including HDFC Bank and Tata Consultancy Services, have been de-rated and are trading substantially below their 10-year median valuation multiples on price-to-earnings and price-to-book ratios.

To be sure, the risks of the market falling further are very real, but the low valuations are prompting fund managers to say this is precisely why investors need to distinguish between what is happening to the market and what is happening to the Indian economy.

"The Nifty is not India," says Ashish Chaturmota, Managing Director for the PMS business at JM Financial. "The market is now segmented into two halves: large caps were overvalued and showed just 6-8% earnings growth. Therefore, they got sold. On the other hand, small-caps and mid-caps had lots of strong themes running, plus sustainable earnings growth in excess of 20%."

While large caps have been battered, small- and mid-cap indices rallied 25-30% between April and September, helped by strong earnings growth during the first quarter, expanding margins and relatively low equity floats. Fund managers rode that rally, even as foreign investors focused their selling on large caps.

According to Irani, who runs top-performing mid-cap and small-cap equity funds, those standing on the sidelines are missing the broader picture. He says Dalal Street's fall is mainly because of two factors—rising oil prices and surging US bond yields—on which investors, corporates and the government have little or no control.

"These are imported problems. Focus instead on GDP expansion and strong credit growth," he says. "This is a stock picker's market, and there are plenty of good stories."

The problem is that investors have been conditioned by a very different market. For two years, many have continued investing through SIPs even as returns have increasingly lagged fixed deposits.

At the same time, Dalal Street has seen an explosion of primary-market fundraising over the past two years —₹2,09,344 crore in FY25 (highest in three decades) and ₹2,04,713 in FY26, according to data from Prime Database. In the current fiscal, ₹1,49,572 crore has been raised till September 30, including the bumper listing of the National Stock Exchange, with issue size of ₹22,568.9 crore (*see charts*).

Retail investors, attracted by spectacular listing gains in several of these IPOs, have increasingly diverted money from existing equity holdings to participate in new issues.

The IPO rush has also allowed private-equity funds, promoters and pre-IPO investors to monetise holdings

EQUITY FALL

• The BSE Sensex is among the worst performing indices in 2026

RANK	INDEX	RETURNS
1	Kospi Index	74.91%
2	Ngx All Shr	74.39%
3	Taiwan Taiex Index	63.83%
4	Gse Composite Index	44.00%
5	Msci Colcap Index	39.95%
6	Nikkei 225	35.29%
7	Tunis se Tunindex	32.77%
8	Nairobi All Share	30.98%
9	Budapest Stock Exch Indx	30.67%
10	Msx30 Index	29.27%
11	Hang Seng China ENT Indx	-8.52%
12	Omx Copenhagen 20 Index	-10.94%
13	Blom Stock Index	-11.58%
14	S&P Merval TR Ars	-11.64%
15	Masi Free Float Index	-12.00%
16	Psei - Philippine Se Idx	-12.97%
17	Sri Lanka Colombo All Share Index	-13.66%
18	QE Index	-14.72%
19	**Sensex**	**-21.50%**
20	Jakarta composite index	-35.29%

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